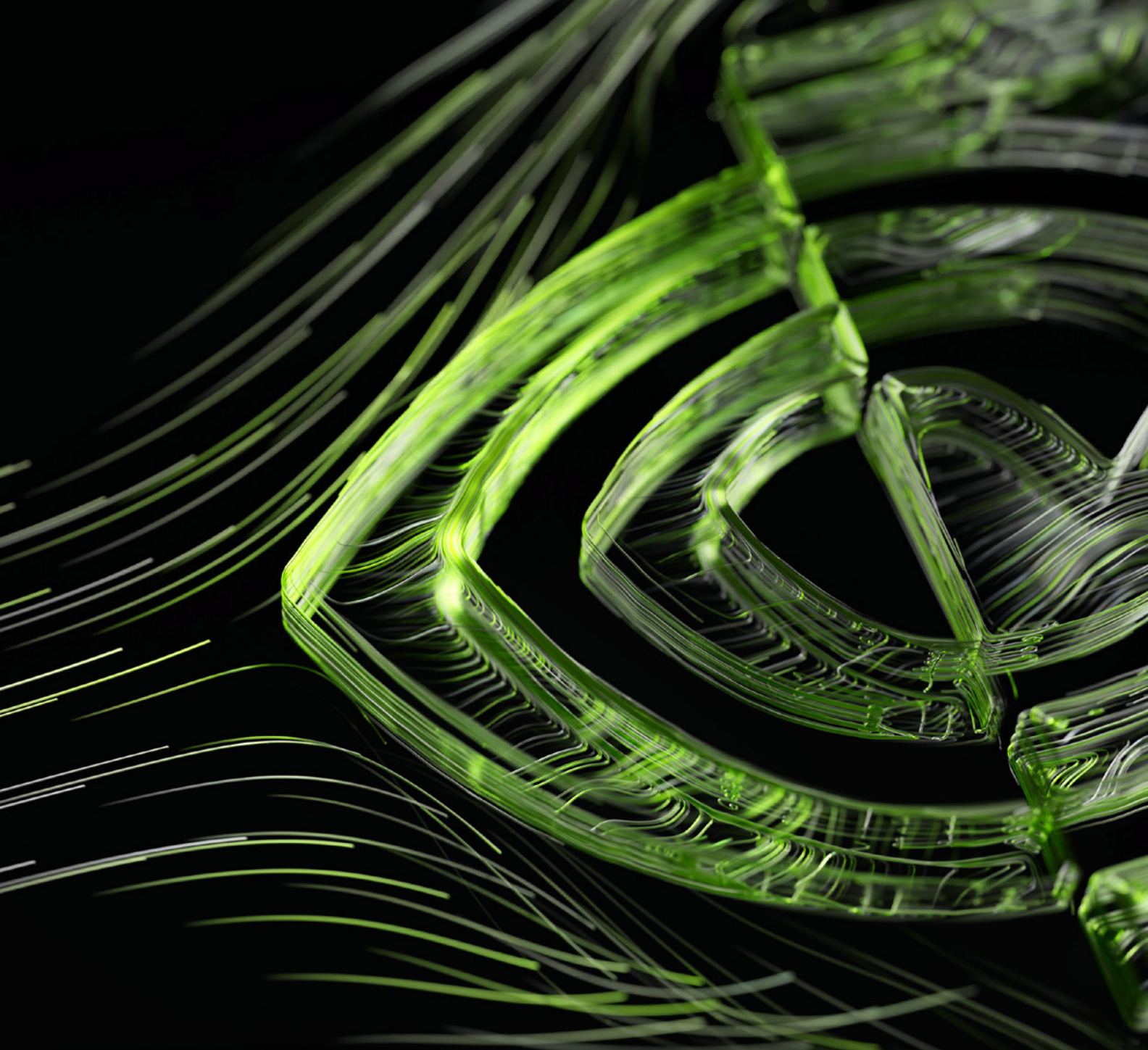

2022
NVIDIA CORPORATION ANNUAL REVIEW

NVIDIA CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF INCOME
(In millions, except per share data)

	Year Ended		
	January 30, 2022	January 31, 2021	January 26, 2020
Revenue	$ 26,914	$ 16,675	$ 10,918
Cost of revenue	9,439	6,279	4,150
Gross profit	17,475	10,396	6,768
Operating expenses			
Research and development	5,268	3,924	2,829
Sales, general and administrative	2,166	1,940	1,093
Total operating expenses	7,434	5,864	3,922
Income from operations	10,041	4,532	2,846
Interest income	29	57	178
Interest expense	(236)	(184)	(52)
Other, net	107	4	(2)
Other income (expense), net	(100)	(123)	124
Income before income tax	9,941	4,409	2,970
Income tax expense	189	77	174
Net income	$ 9,752	$ 4,332	$ 2,796
Net income per share:			
Basic	$ 3.91	$ 1.76	$ 1.15
Diluted	$ 3.85	$ 1.73	$ 1.13
Weighted average shares used in per share computation:			
Basic	2,496	2,467	2,439
Diluted	2,535	2,510	2,472

See accompanying notes to the consolidated financial statements.

NVIDIA CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In millions)

	Year Ended		
	January 30, 2022	January 31, 2021	January 26, 2020
Net income	$ 9,752	$ 4,332	$ 2,796
Other comprehensive income (loss), net of tax			
Available-for-sale debt securities:			
Net unrealized gain (loss)	(16)	2	8
Reclassification adjustments for net realized gain (loss) included in net income	—	(2)	—
Net change in unrealized gain (loss)	(16)	—	8
Cash flow hedges:			
Net unrealized gain (loss)	(43)	9	10
Reclassification adjustments for net realized gain (loss) included in net income	29	9	(5)
Net change in unrealized gain (loss)	(14)	18	5
Other comprehensive income (loss), net of tax	(30)	18	13
Total comprehensive income	$ 9,722	$ 4,350	$ 2,809

See accompanying notes to the consolidated financial statements.

NVIDIA CORPORATION AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
(In millions, except par value)

	January 30, 2022	January 31, 2021
ASSETS		
Current assets:		
Cash and cash equivalents	$ 1,990	$ 847
Marketable securities	19,218	10,714
Accounts receivable, net	4,650	2,429
Inventories	2,605	1,826
Prepaid expenses and other current assets	366	239
Total current assets	28,829	16,055
Property and equipment, net	2,778	2,149
Operating lease assets	829	707
Goodwill	4,349	4,193
Intangible assets, net	2,339	2,737
Deferred income tax assets	1,222	806
Other assets	3,841	2,144
Total assets	$ 44,187	$ 28,791
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current liabilities:		
Accounts payable	$ 1,783	$ 1,149
Accrued and other current liabilities	2,552	1,777
Short-term debt	—	999
Total current liabilities	4,335	3,925
Long-term debt	10,946	5,964
Long-term operating lease liabilities	741	634
Other long-term liabilities	1,553	1,375
Total liabilities	17,575	11,898
Commitments and contingencies - see Note 13		
Shareholders' equity:		
Preferred stock, $0.001 par value; 2 shares authorized; none issued	—	—
Common stock, $0.001 par value; 4,000 shares authorized; 2,506 shares issued and outstanding as of January 30, 2022; 3,859 shares issued and 2,479 outstanding as of January 31, 2021	3	3
Additional paid-in capital	10,385	8,719
Treasury stock, at cost (None as of January 30, 2022 and 1,380 shares as of January 31, 2021)	—	(10,756)
Accumulated other comprehensive income (loss)	(11)	19
Retained earnings	16,235	18,908
Total shareholders' equity	26,612	16,893
Total liabilities and shareholders' equity	$ 44,187	$ 28,791

See accompanying notes to the consolidated financial statements.

Note 8 - Cash Equivalents and Marketable Securities

Our cash equivalents and marketable securities related to debt securities are classified as “available-for-sale” debt securities.

The following is a summary of cash equivalents and marketable securities as of January 30, 2022 and January 31, 2021:

	January 30, 2022					
					Reported as	
	Amortized Cost	Unrealized Gain	Unrealized Loss	Estimated Fair Value	Cash Equivalents	Marketable Securities
	(In millions)					
Corporate debt securities	$ 9,977	$ —	$ (3)	$ 9,974	$ 1,102	$ 8,872
Debt securities issued by the United States Treasury	7,314	—	(14)	7,300	—	7,300
Debt securities issued by United States government agencies	1,612	—	—	1,612	256	1,356
Certificates of deposit	1,561	—	—	1,561	21	1,540
Money market funds	316	—	—	316	316	—
Foreign government bonds	150	—	—	150	—	150
Total	$ 20,930	$ —	$ (17)	$ 20,913	$ 1,695	$ 19,218

	January 31, 2021					
					Reported as	
	Amortized Cost	Unrealized Gain	Unrealized Loss	Estimated Fair Value	Cash Equivalents	Marketable Securities
	(In millions)					
Corporate debt securities	$ 4,442	$ 2	$ —	$ 4,444	$ 234	$ 4,210
Debt securities issued by United States government agencies	2,975	1	—	2,976	28	2,948
Debt securities issued by the United States Treasury	2,846	—	—	2,846	25	2,821
Certificates of deposit	705	—	—	705	37	668
Money market funds	313	—	—	313	313	—
Foreign government bonds	67	—	—	67	—	67
Total	$ 11,348	$ 3	$ —	$ 11,351	$ 637	$ 10,714

Investment in Non-Affiliated Entities

Non-marketable equity investments in privately-held companies are recorded at fair value on a non-recurring basis only if an impairment or observable price adjustment occurs in the period with changes in fair value recorded through net income. These investments are valued using observable and unobservable inputs or data in an inactive market and the valuation requires our judgment due to the absence of market prices and inherent lack of liquidity. The estimated fair value is based on quantitative and qualitative factors including subsequent financing activities by the investee.

Marketable equity investments in publicly-held companies are recorded at fair value with the related unrealized and realized gains and losses recognized in other income (expense), net.

	Pricing Category	Fair Value at January 30, 2022	Fair Value at January 31, 2021
		(In millions)	
Assets			
Cash equivalents and marketable securities:			
Money market funds	Level 1	$ 316	$ 313
Corporate debt securities	Level 2	$ 9,974	$ 4,444
Debt securities issued by the United States Treasury	Level 2	$ 7,300	$ 2,846
Debt securities issued by United States government agencies	Level 2	$ 1,612	$ 2,976
Certificates of deposit	Level 2	$ 1,561	$ 705
Foreign government bonds	Level 2	$ 150	$ 67
Other assets (Investment in non-affiliated entities):			
Publicly-held equity securities (1)	Level 1	$ 58	$ —
Privately-held equity securities	Level 3	$ 208	$ 144
Liabilities (2)			
2.20% Notes Due 2021	Level 2	$ —	$ 1,011
0.309% Notes Due 2023	Level 2	$ 1,236	$ —
0.584% Notes Due 2024	Level 2	$ 1,224	$ —
3.20% Notes Due 2026	Level 2	$ 1,055	$ 1,124
1.55% Notes Due 2028	Level 2	$ 1,200	$ —
2.85% Notes Due 2030	Level 2	$ 1,542	$ 1,654
2.00% Notes Due 2031	Level 2	$ 1,200	$ —
3.50% Notes Due 2040	Level 2	$ 1,066	$ 1,152
3.50% Notes Due 2050	Level 2	$ 2,147	$ 2,308
3.70% Notes Due 2060	Level 2	$ 551	$ 602

(1) Unrealized gains of $48 million from an investment in a publicly-traded equity security were recorded in other income (expense), net, in fiscal year 2022.

(2) These liabilities are carried on our Consolidated Balance Sheets at their original issuance value, net of unamortized debt discount and issuance costs.